

Meta Platforms

NASDAQ : \$1902.05B mkt cap · 2.57B sh · \$81.6B cash, \$58.7B debt · Net cash +\$22.9B at YE25; FY25 buybacks ~\$26B + dividends ~\$5B, then no buybacks in H1'26; Revenue \$201B FY25 (+22%); GAAP op margin 41.4%; FCF \$46.1B, or ~\$25.7B after \$20.4B of stock comp; capex ~\$72B, guided to \$130-145B; \$741 at the Sep-21 close: +12% YTD, +30% since Aug 31 (+11% on Sep 21), ~7% below the \$796 Aug-2025 high

META · Mature-Company DCF

\$741.25

THE CENTRAL QUESTION

Is the ~\$130B/yr AI capex building a second act beyond ads — the only case that clears ~\$1.9T once stock comp is charged as a cost?

Meta trades at ~\$1.90T (~\$741, +12% YTD, +30% since Aug 31). Revenue grew +33% in Q1'26 and +28% in Q2 while capex heads to \$130-145B (~2× FY25). Reported FCF adds back stock comp (\$20.4B, 10% of FY25 revenue); charged as the real cost it is, FY25 FCF falls from \$46.1B to ~\$26B, or ~73× EV/FCF vs ~41× reported. The probability-weighted value sits ~47% below spot and the base case ~51% below, with 93% of the probability at or below the price.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$393.65

expected fair value today
-46.9% vs spot \$741.25

most likely case (base) -50.7% · 93% at or below spot

FORWARD COMPOUNDED VALUE

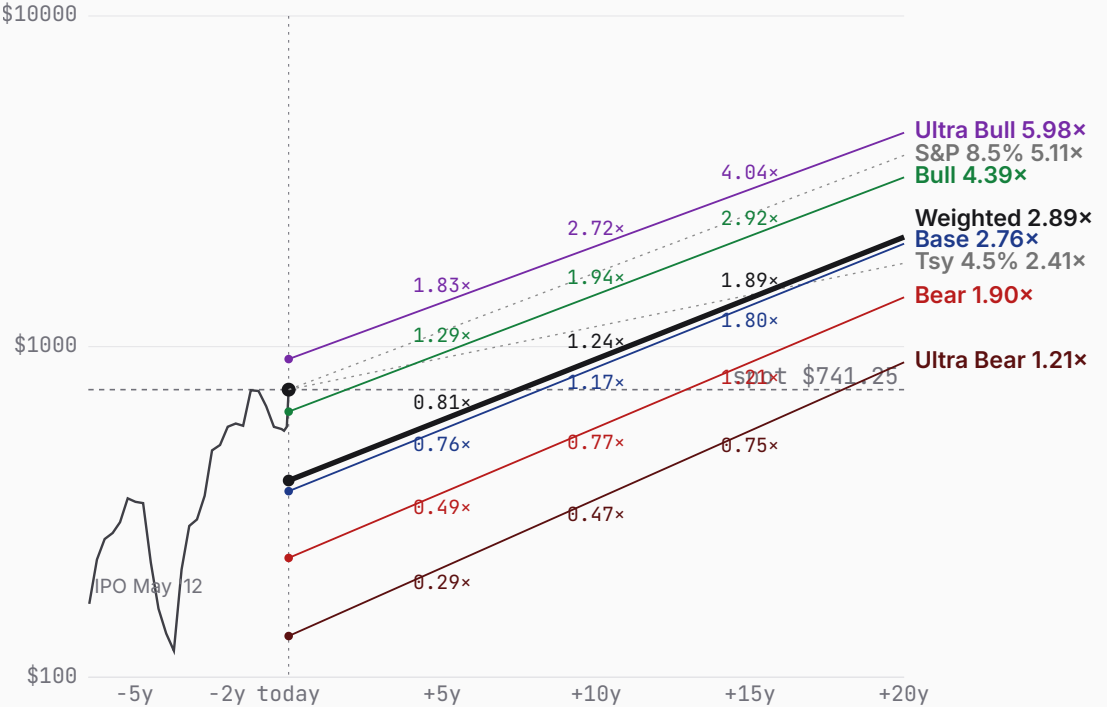
+5y	+10y	+15y	+20y
\$601.02	\$918.08	\$1,403.13	\$2,145.53
0.81× spot	1.24× spot	1.89× spot	2.89× spot

WEIGHTING RATIONALE

- Ultra Bear 12% Capex burns; ad growth fades; margins compress; ~\$133 (-82%).
- Bear 27% Growth normalizes; D&A weighs on margins; ~\$230 (-69%).
- Base 34% AI lifts ads; margins hold ~41%; ~\$365 (-51%).
- Bull 20% AI ad engine compounds; capex pays off; ~\$636 (-14%).
- Ultra Bull 7% AI platform second act; FCF machine; ~\$917 (+24%).

Bull (20%) + Ultra Bull (7%) together contribute \$191.40 — 49% of the \$393.65 expected value despite 27% combined probability. Today's spot (\$741.25) sits 88% above the weighted expected; the forward-weighted value reaches spot in about 7 years.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$133.30	BEAR	\$229.60	BASE	\$365.49	BULL	\$635.98	ULTRA BULL	\$917.14
	-82.0% vs spot		-69.0% vs spot		-50.7% vs spot		-14.2% vs spot		+23.7% vs spot
CAGR +7.0% WACC 10.0% CAGR +7.0% Prob 12%		CAGR +11.1% WACC 9.5% CAGR +11.1% Prob 27%		CAGR +13.9% WACC 9.0% CAGR +13.9% Prob 34%		CAGR +17.5% WACC 8.5% CAGR +17.5% Prob 20%		CAGR +21.5% WACC 8.2% CAGR +21.5% Prob 7%	
Capex burns; ad growth fades; margins compress.		Growth normalizes; D&A weighs on margins.		AI lifts ads; margins hold ~41%; FCF compounds.		AI ad engine compounds; capex pays off.		AI platform second act; FCF machine.	

PROBABILITY WEIGHTS

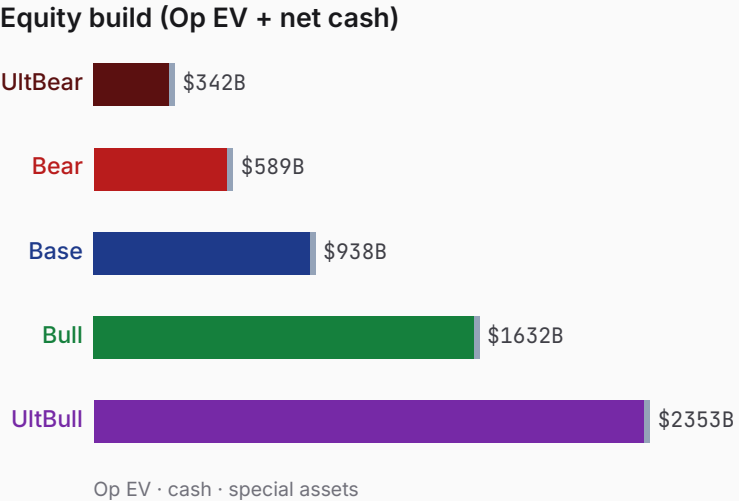
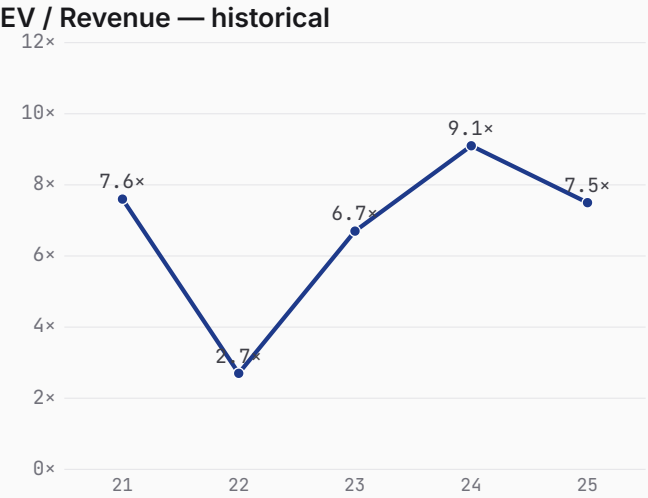
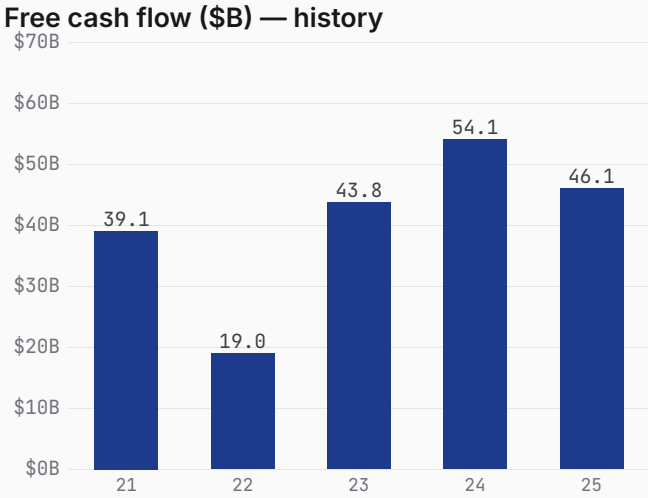
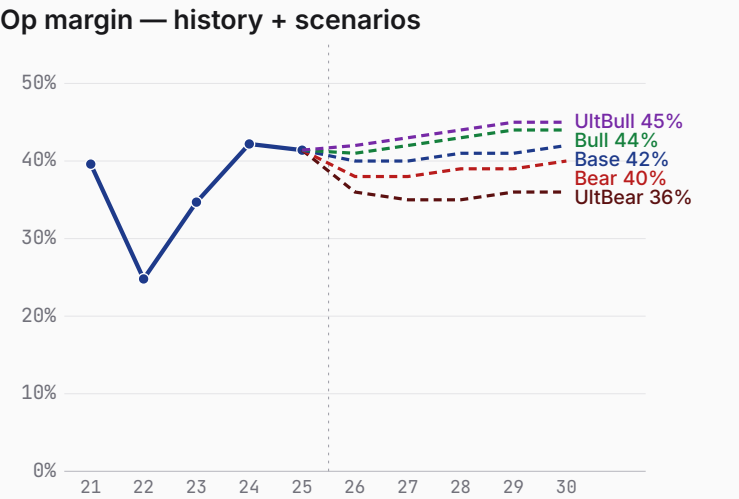
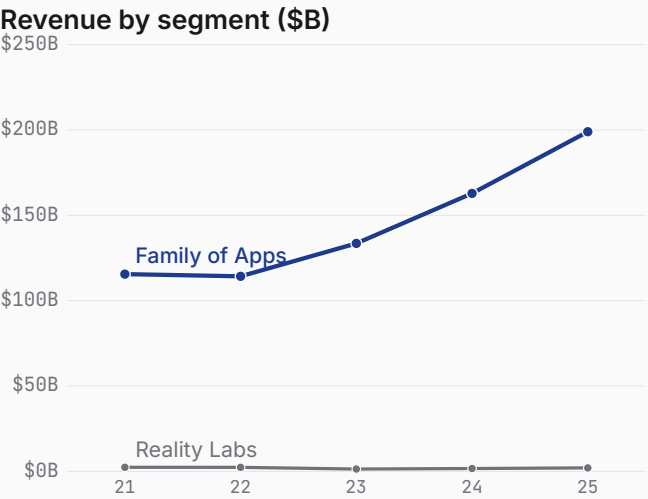
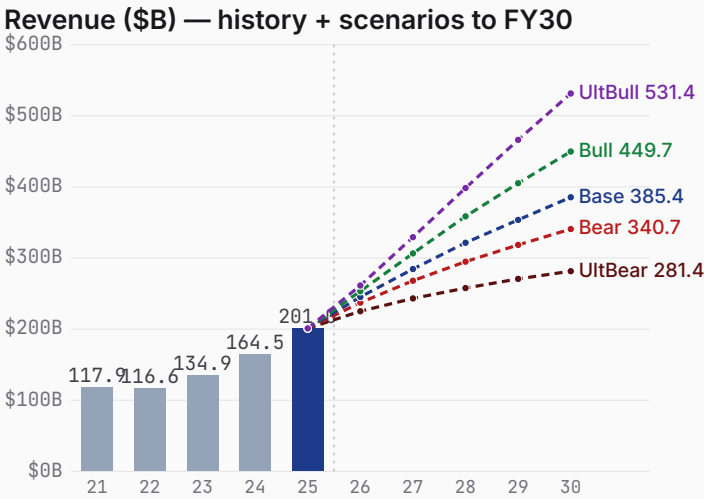
Ultra Bear 12% Bear 27% Base 34% Bull 20% Ultra Bull 7% · Weighted expected \$393.65 (-46.9% vs spot)

ULTRA BEAR	\$133.30	BEAR	\$229.60	BASE	\$365.49	BULL	\$635.98	ULTRA BULL	\$917.14
	-82.0% vs spot		-69.0% vs spot		-50.7% vs spot		-14.2% vs spot		+23.7% vs spot
Probability 12%		Probability 27%		Probability 34%		Probability 20%		Probability 7%	
Capex burns; ad growth fades; margins compress.		Growth normalizes; D&A weighs on margins.		AI lifts ads; margins hold ~41%; FCF compounds.		AI ad engine compounds; capex pays off.		AI platform second act; FCF machine.	
WHY 12%		WHY 27%		WHY 34%		WHY 20%		WHY 7%	
The genuine bear: the market already flinched (~6% after-hours) on the capex raise, the ROI is unproven, and Reality Labs has lost ~\$80B cumulatively. 12% weight on the spend failing to convert to durable ad gains.		Share gains and pricing continue but the D&A from ~\$130B/yr capex caps margin and free cash flow. 27% as the plausible 'grows but the spend weighs' path given the elevated-capex regime.		Requires the AI capex to roughly earn its cost of capital while ad growth stays double-digit - consistent with the accelerating Q1'26 ad metrics and 41% margins, but not a step-change. 34% as the central outcome, still ~51% below the price.		Meta's own AI tools are already in the core ad stack and Q1'26 showed both volume and price accelerating; if that durability holds, the capex earns well above its cost. 20% weight on the buildout becoming a real ad-monetization engine.		Everything works - AI lifts ads AND opens a messaging/agent revenue stream AND the compute becomes a platform asset, the AWS/datacenter-style second act. ~7%, the long-duration tail.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
The capex-ROI fear plays out: the \$130-145B buildout lands as years of D&A ahead of return, AI ad efficiency plateaus, the ad cycle softens, and Reality Labs keeps bleeding ~\$24B/yr. Revenue growth decelerates into the mid-single digits and FCF after stock comp stays near ~8-10% of revenue as depreciation outruns the operating line.		Ad growth normalizes off the +33% spike toward high-single/low-double-digit as the buildout's depreciation steps up, AI lifts pricing but only modestly, and Reality Labs stays a drag. Operating margin holds high-30s and FCF after stock comp sits ~10-13% of revenue as capex stays elevated against a larger D&A base.		The modal path: AI-driven ad efficiency keeps lifting volume and price (the Q1'26 +33% is the first datapoint), revenue compounds ~14% a year to ~\$385B by FY30, and operating margin holds ~41% as the buildout's returns roughly offset its D&A. FCF after stock comp grinds from ~12% of revenue toward ~16% as capex moderates against a larger base.		The capex pays off: AI ad-creation (Muse Spark, adopters ~8M) and ranking durably lift impressions and price, the buildout's return outruns its D&A, and operating margin expands past 42% as the ad engine scales on the compute. Revenue compounds high-teens and FCF after stock comp climbs from ~14% of revenue toward ~20% as capex intensity peaks and rolls over.		The full second act: AI compounds ad monetization across the 3B+ user graph, business-messaging and AI agents open a new revenue stream beyond the core ad TAM, and the compute buildout becomes an owned platform asset. Operating margin pushes mid-40s and FCF after stock comp climbs toward ~23% of revenue as the spend turns into durable, high-incremental-margin revenue.	
An ad business growing slowly while spending ~2x prior year on uncertain-return compute earns a ~14x terminal multiple on FCF after stock comp: DCF ~\$133 (-82%). Net cash of ~\$9/share cannot offset a buildout that does not earn its cost of capital.		DCF ~\$230 (-69%) - a still-dominant ad franchise, but one digesting a heavy buildout at a ~16x terminal multiple on FCF after stock comp is worth about a third of today's price; the gap is warranted if the capex weighs on free cash flow longer than the ad engine compounds.		DCF ~\$365 (-51%) - the ad engine compounds and the capex earns roughly its cost of capital, yet at a ~19x terminal multiple on FCF after stock comp the modal case is worth about half of today's price; the price already assumes more than the central outcome.		DCF ~\$636 (-14%) - even if the AI spend converts to a structurally faster, higher-margin ad engine, a ~23x terminal multiple on FCF after stock comp leaves the bull below today's price: the capex paying off is already in the stock.		DCF ~\$917 (+24%) - the buildout earns a platform multiple (~25x terminal FCF after stock comp) as AI becomes an earnings engine rather than a cost; at ~7% probability, the only scenario that clears today's price.	

Meta Platforms business snapshot

Bear \$229.60 Base \$365.49 Bull \$635.98

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec · Q1 2026 (Apr'26) results



Sources: SEC XBRL company facts (CIK 1326801; revenue, margins, cash flow, stock comp, debt), Meta Q1 2026 release (revenue \$56.3B +33%, ads ~\$55B, impressions +19%, price/ad +12%, 41% operating margin, Reality Labs ~\$6B/qtr loss; FTC trial won Nov-2025, appeal Jan-2026), Q2 2026 release/10-Q (capex outlook \$130-145B; 2,566M diluted shares). Revenue grows off FY25; FCF = revenue x FCF margin less stock comp (10.2% of FY25 revenue); Gordon terminal at scenario WACC.

Meta Platforms 7 Powers · the moat, scored

Bear \$229.60 Base \$365.49 Bull \$635.98

Arena. Digital advertising / social platforms - Meta (3B+ user social graph, ~\$55B/qtr ads, 41% margin) vs Alphabet/Google, Amazon ads, TikTok/ByteDance, and Snap/Pinterest/Reddit; auditing a branding + network-economies + scale Power against the AI-capex ROI question.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies	Massive: ~\$200B revenue and a global ad/infra base spread fixed R&D and compute across 3B+ users; AI capex deepens the cost-per-impression advantage if it earns out.
Network Economies · thesis leans here	The core Power: the social graph compounds - more users and content make each app more valuable to users and advertisers; cross-app (FB/IG/WhatsApp) reinforces it.
Counter-Positioning	Was the mobile-social disruptor; now the incumbent being counter-positioned by TikTok's algorithmic feed, which forced the Reels response.
Switching Costs	Moderate: social graph + content history + creator relationships create stickiness, but users multi-home and attention is contestable.
Branding	Real: Instagram/WhatsApp are category-defining consumer brands with global mindshare, though the corporate brand is contested and ad-trust is a perennial overhang.
Cornered Resource	The 3B+ user behavioral/interest dataset and the social graph itself are hard to replicate; tempered by privacy regulation (DMA, ATT) constraining its use.
Process Power	AI ad-ranking, creative (Muse Spark) and infra are a compounding learning curve; the open question is whether the capex turns this into durable monetization.

PEER SET

Alphabet (GOOGL) The other ad duopolist - Search/YouTube + full AI stack; the scale/margin benchmark and direct ad-budget competitor.	15% gr · 32% mgn · ~57x EV/FCF
Amazon (AMZN) Fastest-growing large ad platform (retail-media), taking share of performance budgets at the margin.	13% gr · 11% mgn · ~4x EV/sales
ByteDance / TikTok The attention threat that forced Reels; algorithmic short-form competing directly for engagement and ad dollars.	· private
Snap / Pinterest / Reddit Sub-scale social-ad peers; pressure on incremental ad budgets, not the core graph.	15% gr · 8% mgn · ~5x EV/sales

THREAT VECTORS · FALSIFIERS

Network Economies · ByteDance / TikTok (attention) falsifier: Family DAP growth stalls or turns negative as engagement and time-spent shift to short-form rivals, capping the impression base.
Process Power · AI-capex ROI (Alphabet's full stack) falsifier: Ad growth decelerates while D&A from the ~\$130B/yr buildout keeps climbing - the spend fails to convert to durable monetization.
Cornered Resource · Privacy regulation (DMA, ATT, FTC appeal) falsifier: EU 'pay or consent' / signal-loss erodes ad targeting and pricing, or the FTC appeal reopens the structural-separation risk.

COMPETITIVE READ

Meta's network-economies Power is genuinely durable (high): the 3B+ social graph compounds, reinforced by scale across a ~\$200B ad base and the Instagram/WhatsApp brands - and revenue growth of +33% in Q1'26 and +28% in Q2 shows the engine still growing fast. The Audit: network economies dominates, scale and branding reinforce it, and the live threats are TikTok's pull on attention, privacy regulation, and above all the ~\$130B/yr AI-capex ROI. The Power does not rescue the price: at ~73x FCF after stock comp (~41x reported), the DCF lands a weighted -46.9%, the base ~51% below spot, and only the ultra-bull clears it.

Meta Platforms show your work

Bear \$229.60 Base \$365.49 Bull \$635.98 · Weighted \$393.65 (-46.9%)

ULTRA BEAR	\$133.30	BEAR	\$229.60	BASE	\$365.49	BULL	\$635.98	ULTRA BULL	\$917.14
ASSUMPTIONS		ASSUMPTIONS		ASSUMPTIONS		ASSUMPTIONS		ASSUMPTIONS	
5y revenue CAGR (%)	+7.0	5y revenue CAGR (%)	+11.1	5y revenue CAGR (%)	+13.9	5y revenue CAGR (%)	+17.5	5y revenue CAGR (%)	+21.5
Year-5 op margin (%)	36.0	Year-5 op margin (%)	40.0	Year-5 op margin (%)	42.0	Year-5 op margin (%)	44.0	Year-5 op margin (%)	45.0
WACC (%)	10.0	WACC (%)	9.5	WACC (%)	9.0	WACC (%)	8.5	WACC (%)	8.2
Terminal growth (%)	2.5	Terminal growth (%)	3.0	Terminal growth (%)	3.5	Terminal growth (%)	4.0	Terminal growth (%)	4.0
Terminal FCF (\$B)	\$27.68B	Terminal FCF (\$B)	\$43.73B	Terminal FCF (\$B)	\$61.03B	Terminal FCF (\$B)	\$89.20B	Terminal FCF (\$B)	\$121.34B
Starting revenue (\$B)	201.00	Starting revenue (\$B)	201.00	Starting revenue (\$B)	201.00	Starting revenue (\$B)	201.00	Starting revenue (\$B)	201.00
Scenario probability (%)	12	Scenario probability (%)	27	Scenario probability (%)	34	Scenario probability (%)	20	Scenario probability (%)	7
5-YEAR DCF · \$B		5-YEAR DCF · \$B		5-YEAR DCF · \$B		5-YEAR DCF · \$B		5-YEAR DCF · \$B	
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	225.12	+36%	+17.64	+16.04	FY26	237.18	+38%	+23.33	+21.30
FY27	243.13	+35%	+19.05	+15.74	FY27	268.01	+38%	+29.04	+24.22
FY28	257.72	+35%	+22.77	+17.11	FY28	294.81	+39%	+34.89	+26.58
FY29	270.60	+36%	+26.62	+18.18	FY29	318.40	+39%	+37.69	+26.21
FY30	281.43	+36%	+27.68	+17.19	FY30	340.69	+40%	+43.73	+27.78
Σ PV explicit FCF				+84.25	Σ PV explicit FCF				+126.09
+ PV terminal (g 2.5%)				234.89	+ PV terminal (g 3.0%)				440.17
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV				\$319.14B	Operating EV				\$566.26B
+ Cash & investments				\$81.60B	+ Cash & investments				\$81.60B
– Total debt				\$58.70B	– Total debt				\$58.70B
= Equity value				\$342.04B	= Equity value				\$589.16B
FY30 shares (M)				2,566	FY30 shares (M)				2,566
= Expected per share				\$133.30	= Expected per share				\$229.60
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$214.68	\$345.75	\$556.83	\$896.78		\$361.45	\$569.00	\$895.74	\$1,410.11	
0.29×	0.47×	0.75×	1.21×		0.49×	0.77×	1.21×	1.90×	

5-YEAR DCF · \$B		5-YEAR DCF · \$B		5-YEAR DCF · \$B		5-YEAR DCF · \$B		5-YEAR DCF · \$B	
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	245.22	+40%	+29.02	+26.63	FY26	245.22	+40%	+29.02	+26.63
FY27	284.46	+40%	+36.51	+30.73	FY27	284.46	+40%	+36.51	+30.73
FY28	321.43	+41%	+44.47	+34.34	FY28	321.43	+41%	+44.47	+34.34
FY29	353.58	+41%	+52.45	+37.16	FY29	353.58	+41%	+52.45	+37.16
FY30	385.40	+42%	+61.03	+39.66	FY30	385.40	+42%	+61.03	+39.66
Σ PV explicit FCF				+168.52	Σ PV explicit FCF				+168.52
+ PV terminal (g 3.5%)				746.43	+ PV terminal (g 3.5%)				746.43
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV				\$914.95B	Operating EV				\$914.95B
+ Cash & investments				\$81.60B	+ Cash & investments				\$81.60B
– Total debt				\$58.70B	– Total debt				\$58.70B
= Equity value				\$937.85B	= Equity value				\$937.85B
FY30 shares (M)				2,566	FY30 shares (M)				2,566
= Expected per share				\$365.49	= Expected per share				\$365.49
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$562.35	\$865.25	\$1,331.29	\$2,048.36		\$562.35	\$865.25	\$1,331.29	\$2,048.36	
0.76×	1.17×	1.80×	2.76×		0.76×	1.17×	1.80×	2.76×	

5-YEAR DCF · \$B		5-YEAR DCF · \$B		5-YEAR DCF · \$B		5-YEAR DCF · \$B		5-YEAR DCF · \$B	
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	253.26	+41%	+35.04	+32.30	FY26	253.26	+41%	+35.04	+32.30
FY27	306.44	+42%	+48.53	+41.22	FY27	306.44	+42%	+48.53	+41.22
FY28	358.54	+43%	+63.95	+50.06	FY28	358.54	+43%	+63.95	+50.06
FY29	405.15	+44%	+76.31	+55.06	FY29	405.15	+44%	+76.31	+55.06
FY30	449.72	+44%	+89.20	+59.33	FY30	449.72	+44%	+89.20	+59.33
Σ PV explicit FCF				+237.97	Σ PV explicit FCF				+237.97
+ PV terminal (g 4.0%)				1371.06	+ PV terminal (g 4.0%)				1371.06
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV				\$1609.03B	Operating EV				\$1609.03B
+ Cash & investments				\$81.60B	+ Cash & investments				\$81.60B
– Total debt				\$58.70B	– Total debt				\$58.70B
= Equity value				\$1631.93B	= Equity value				\$1631.93B
FY30 shares (M)				2,566	FY30 shares (M)				2,566
= Expected per share				\$635.98	= Expected per share				\$635.98
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$956.30	\$1,437.94	\$2,162.17	\$3,251.16		\$956.30	\$1,437.94	\$2,162.17	\$3,251.16	
1.29×	1.94×	2.92×	4.39×		1.29×	1.94×	2.92×	4.39×	

5-YEAR DCF · \$B		5-YEAR DCF · \$B		5-YEAR DCF · \$B		5-YEAR DCF · \$B		5-YEAR DCF · \$B	
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	261.30	+42%	+38.77	+35.83	FY26	261.30	+42%	+38.77	+35.83
FY27	329.24	+43%	+58.72	+50.16	FY27	329.24	+43%	+58.72	+50.16
FY28	398.38	+44%	+79.02	+62.38	FY28	398.38	+44%	+79.02	+62.38
FY29	466.10	+45%	+101.78	+74.26	FY29	466.10	+45%	+101.78	+74.26
FY30	531.36	+45%	+121.34	+81.82	FY30	531.36	+45%	+121.34	+81.82
Σ PV explicit FCF				+304.44	Σ PV explicit FCF				+304.44
+ PV terminal (g 4.0%)				2026.04	+ PV terminal (g 4.0%)				2026.04
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV				\$2330.48B	Operating EV				\$2330.48B
+ Cash & investments				\$81.60B	+ Cash & investments				\$81.60B
– Total debt				\$58.70B	– Total debt				\$58.70B
= Equity value				\$2353.38B	= Equity value				\$2353.38B
FY30 shares (M)				2,566	FY30 shares (M)				2,566
= Expected per share				\$917.14	= Expected per share				\$917.14
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$1,360.10	\$2,017.01	\$2,991.19	\$4,435.89		\$1,360.10	\$2,017.01	\$2,991.19	\$4,435.89	
1.83×	2.72×	4.04×	5.98×		1.83×	2.72×	4.04×	5.98×	

Meta Platforms

People · Opportunity · Context · Deal

Bear \$229.60 Base \$365.49 Bull \$635.98

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Mark Zuckerberg · founder-led

22 yrs in seat

14%insider ownership

HIGHkey-person risk

Capital allocation (realized)
Turned shareholder-return on aggressively: a \$50B buyback authorization (Feb 2024) on top of prior programs, with ~\$29.75B of Class A repurchased in FY2024 and ~\$26B in FY2025, then none in H1 FY2026 as capex stepped up; plus the first-ever dividend (\$0.50/quarter, initiated Feb 2024; ~\$5.07B FY2024 incl. dividend equivalents). M&A built the franchise (Instagram 2012, WhatsApp 2014, Oculus 2014); subsequent deals drew FTC/antitrust scrutiny. Heavy R&D/capex — large multi-year AI/datacenter spend and the Reality Labs segment running deep operating losses. Stock comp ~\$20.4B FY2025 (10.2% of revenue; ~\$16.7B FY2024).

Incentive alignment
Pay is not the alignment lever — the founder stake is: FY2024 salary was \$1 (by his request), \$0 bonus, \$0 new equity; reported other compensation (~\$27.2M) is overwhelmingly personal security and aircraft costs, not incentive pay. No PSU/TSR program for the CEO (he takes no equity grants).

GOVERNANCE FLAGS

- super-voting dual-class (Class B = 10 votes vs Class A = 1) → ~61% founder voting control on ~14% economics
- Zuckerberg owns ~99.8% of Class B — voting control is non-dilutable by outside Class A issuance
- combined Chair + CEO (founder holds both roles)
- controlled company under Nasdaq rules — exempt from majority-independent-board requirements (Meta opts in anyway; board majority-independent)
- no independent shareholder check — the controller carries every shareholder vote

PEOPLE READ

Founder-Chair-CEO with ~14% economics but ~61% non-dilutable voting control via Class B (10:1) — outsiders cannot force change and every shareholder vote is pre-decided. Aligned through the stake (not pay: \$1 salary, \$0 equity) and heavy returns through FY2025 (a \$50B buyback, with no repurchases in H1 2026, plus the 2024 first-ever dividend), but the governance offsets stack: super-voting control, combined Chair/CEO, and controlled-company status.

THE FOUR LEGS

People

observable composite · 1–5

Opportunity

The scenario distribution · the business snapshot · the Arthur Indicator

Context

The 7 Powers analysis (Power Audit)

Deal

Open-market common — entry price weighed against the probability-weighted fair value, then position-sized.
-46.9% vs spot \$741.25

Meta Platforms

supporting analysis · disclaimers · glossary

Bear \$229.60 Base \$365.49 Bull \$635.98

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

FY25 cash flow is a capex trough.
FCF after stock comp was ~23% of revenue in FY24, before capex doubled; the base never climbs back above ~16%.
- 2

The capex ROI is the whole question.
~\$130B/yr capex (~2x prior year) is the bear; volume AND price accelerated in Q1'26, and revenue still grew +28% in Q2.
- 3

Cash flow self-funds the buildout.
Operating cash flow covered ~\$70B of FY25 capex plus ~\$26B of buybacks and ~\$5B of dividends, and H1'26's \$49B of capex.
- 4

AI is already monetizing in the core ad stack.
Proprietary Muse Spark ad-creative and AI ranking are live; adopters doubled to ~8M, with impressions +19% and price/ad +12% Q1'26.
- 5

Breakup risk is materially reduced.
Meta won the FTC antitrust trial (Nov-2025) and keeps Instagram/WhatsApp; the Jan-2026 appeal leaves a tail, not the breakup case.

FALSIFICATION TRIGGERS

Bull validation

ad revenue stays >=20% with BOTH impressions and price/ad rising · operating margin holds >=40% through the D&A step-up · FCF after stock comp tops ~16% of revenue · AI-ad adoption keeps compounding

Bear validation

ad growth decelerates into the mid-single digits · operating margin falls below ~38% as D&A outgrows revenue · FCF after stock comp stuck near ~10% of revenue · Reality Labs loss widens beyond ~\$24B/yr

Reframe needed

if the ~\$130B/yr capex visibly fails to earn its cost of capital - ad growth fades while D&A keeps climbing - re-rate the terminal toward a slow-growth, capex-heavy ad utility

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Family of Apps — Meta's core ad business - Facebook, Instagram, WhatsApp, Messenger (~99% of revenue, 41%+ margin); the social-graph ad engine the DCF rests on.

Reality Labs — The AR/VR/metaverse segment (~\$24B/yr operating loss, ~\$80B cumulative); a structural drag on margin and the bear's concrete cost line.

AI capex / ROI — The \$130-145B FY26 buildout (~2x the prior ~\$72B) of AI compute; whether it earns its cost of capital via faster, higher-priced ads is the biggest swing.

Impressions x price/ad — The two ad-revenue drivers (Q1'26 +19% volume, +12% price); AI lifting both is the bull mechanism, a soft cycle the bear.

FCF after stock comp — Free cash flow less stock comp, which reported FCF adds back: ~13% of revenue in FY25, ~23% in FY24; the valuation's basis.